A STUDY ON EXAMINATION OF COMPENSATION PACKAGE FOR MINIMIZING THE INCOME TAX OBLIGATIONS

A Summer Internship Project for

Bachelor of Business Administration

By

Deepika Kumari

Under the guidance of

Dr Ferojuddin M A Khan
Director
S&F Commerce Academy, Greater Noida

Dr. Namita Gupta
Professor
SOB, GU, Gautam Budh Nagar (GBN)

GALGOTIAS UNIVERSITY

December 2025

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Certificate of Approval

The following Summer Internship Project Report titled "A study on the examination of compensation package for minimizing the income tax obligation" is hereby approved as a certified study in the area of HR domain of management and it is carried out and presented in a manner satisfactory to warrant its acceptance as a prerequisite for the award of **Bachelors of Business Administration** for which it has been submitted. It is understood that by this approval the undersigned does not necessarily endorse or approve any statement made, opinion expressed, or conclusion drawn therein but approves the Summer Internship Report for the purpose it is submitted to the Summer Internship Examination Committee for evaluation of Summer Internship Project Report.

	Name	Signature
1. Faculty Name.	Dr. Namita Gupta	Gupta 15th Dec 25
2. Industry Mentor	Dr. F M A KHAN	S&F COMMERCE ACADEMY Jagat Plaza, Jagat Farm, Gr. Noida Mob-8285771321,7503699737 Authorised Si

Certificate from Summer Internship Project Guide

This is to certify that Ms Deepika Kumar (23GSOB1010056), a student of the Bachelor of Business Administration has worked under my guidance and supervision. This Summer Internship Project Report has the requisite standard and to the best of my knowledge, no part of it has been reproduced from any other summer Internship project, monograph, report or book.

Faculty Mentor : **Dr Namita Gupta**

Signature:

Designation:~~Faculty Men~~tor PROFESSOR

School of Business

Galgotias University

Date: 16th Dec 25

S&F COMMERCE
ACADEMY
(Regd. Under Uttar Pradesh Shops and Commercial Establishment Act, 1962)
Registration Number: UPSA10714910

S&F Commerce Academy
Shop No 6, 2nd Floor,
Jagat Plaza 1, Jagat Farm,
Greater Noida -201310

Offer Letter

File: SFCA/HR/Internship/2025-26/50
Date: 10th Aug 2025

Dear Ms Deepika Kumari
Galgotias University

Dear Ms Deepika,

Greetings and congratulations.

We are happy to welcome you on board to "S&F Commerce Academy" as Summer Intern in HR department.

S&F Commerce Academy, to introduce to you, is a very reputed academy at Greater Noida, has been into training, consultancy, coaching, skill building, research etc., almost now close to one decade.

While, you will be learning your internship in the Academy, you will be exposed to not only domain HR skills like Training, Recruitment, Selection, Fixing of compensation, Engagement etc., you will also in addition to get familiar with many fine nuances such as inter-disciplinary fields such HR with Accounting, HR Modelling, HR Analytics also., which will seriously open up new avenues and you will be ready to work in multinational corporations.

Your joining date shall be from 15th Aug 2025 and you will be reporting to the undersigned. You are to work for a tenure of 2 months from 15th Aug 2025 to 14th Oct 2025.

So, we look forward to meeting you and please find attached the pdf file comprising the detailed terms and condition, policies of the company, HR manual etc.

Thanks and all the best.

(Dr Ferojuddin M A Khan)
Director of S&F Commerce Academy,

www.sfcommerceacademy.com   +91-9899285553, +91-8285771321   Drferojuddinkhan@gmail.com

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TO WHOMSOVER IT MAY CONCERN

This is to certify that Ms Deepika Kumari (Registration No: 23GSOB1010056), doing BBA from Galgotias University, Greater Noida, has completed her internship from date 14th Aug 2025- 13th Oct 2025, from our academy. Her project titled "A study on examination of compensation package for minimizing the income tax obligation" is an original work and the same was completed with full devotion and commitment and her findings are truly worth implementing in the industry.

I, Dr Ferojuddin M A Khan, Director of S&F Commerce Academy, wish her all the best in her future endeavors.

S&F COMMERCE ACADEMY
Jagat Plaza, Jagat Farm, Gr. Noida
Mob-8285771321, 9899285553737
14/10/25
Authorised Signatory

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Executive Summary

This summer internship project was undertaken at S&F Commerce Academy, Greater Noida, an institution engaged in coaching, training, research and consultancy in commerce and management. The Academy caters to students (XI/XII, B.Com, BBA, M.Com, MBA, CA/CS/CMA) and to executives through skill-building, industry-focused programs and placement facilitation. It operates as a bridge between academia and industry by designing training modules, managing internships and placements, and conducting management development and corporate training programmes.

The internship role was that of Human Resources Intern with a special mandate: to study salary structures from an HR–accounts–taxation perspective and to develop a model for "Salary Tax Planning" that legally minimises employees' income tax burden while remaining fully compliant with the Income Tax Act, 1961. Along with exposure to routine HR functions—recruitment support, HR documentation, data maintenance, basic reporting, coordination of training/placement activities and policy documentation—the central learning assignment was a detailed case study on restructuring salary components for a senior faculty member (name changed) working in a business school.

The project is grounded in the principle, affirmed by the Supreme Court in CIT v. Calcutta Discount Co. Ltd., that an assessee may legitimately arrange affairs to reduce tax liability, provided this is done within the framework of law. Using this as a starting point, the study critically reviewed standard textbook treatment of salary computation and identified a gap: most literature explains how to compute tax on a given salary structure, but not how HR and accounts can collaboratively design that structure in a tax-efficient way, nor the documentation practices needed to defend such structuring during scrutiny.

The case therefore evaluates an existing salary format and develops an alternative structure by keeping basic pay constant (to preserve grade scales) and maximising the use of exempt or partly exempt allowances and perquisites that are closely linked to the employee's actual duties and expenditure patterns. Components such as conveyance allowance, uniform allowance, telephone/internet reimbursement, academic and research allowance, leave travel assistance, helper allowance and mediclaim reimbursement are analysed in detail.

For each head, the project specifies statutory conditions, expected documentation (bills, certificates, undertakings) and the practical role of HR and accounts in vetting, recording and communicating these requirements to employees.

The project also distils best practices and benchmark insights from contemporary regulatory developments and industry patterns in salary structuring. It highlights the growing importance of regime choice (old vs. new), optimal balance between fully taxable fixed pay and flexible benefits, and the need for automation in payroll and proof-collection systems. Benchmark tables compare typical splits (basic, HRA, special allowance, performance pay) used by leading companies and link them to employee-facing interventions such as tax clinics, structured salary templates for different grades, and systematic communication on investment planning and documentation.

From an organisational standpoint, the study recommends that S&F Commerce Academy (and, by extension, other institutions) formally integrate tax-efficient compensation design into HR policy. This involves: educating HR personnel on basic income-tax provisions, sensitising the accounts department to the legitimate scope of tax planning, and obtaining management approval for tax-friendly templates that can be applied across categories of employees.

For the intern, the project delivered substantial value addition. It converted classroom knowledge of HR, accounting and taxation into an applied, interdisciplinary skill: the ability to read salary structures strategically, quantify tax impact, and propose evidence-based redesigns. Exposure to end-to-end HR processes, interaction with mentors and engagement with real salary data enhanced analytical, documentation and communication capabilities.

Acknowledgement

This project would not have been possible without the invaluable guidance and support of my Industry mentor, Dr Ferojuddin M A Khan, Director of S&F Commerce Academy, Greater Noida, whose relentless guidance throughout the internship period has provided a great value addition and appropriate skill set needed to complete the project and my faculty mentor, Dr. Namita Gupta, School of Business, Galgotias University, Greater Noida, whose insights and encouragement were instrumental throughout the research process.

I am also thankful to my institution, Internship Department of Galgotias University, Dean of our School of Business, all the faculty and staff, for providing me with the opportunity and resources to work on this study. Finally, I extend my appreciation to my family and peers for their constant support and motivation.

Signature

(Deepika Kumari)

Table of Contents for Summer Internship Project Report:

COMPANY PROFILE

S&F Commerce Academy: Overview and Mission

Registration & Location

S&F Commerce Academy is a registered institution under the Uttar Pradesh Shops and Establishment Act, operating from:

Address: Jagat Farm, Shop No. 6, 2nd Floor, Jagat Plaza 1, Jagat Farm, Greater Noida – 201308, Uttar Pradesh, India

Website: www.sfcommerceacademy.com **(Figure 1: Refer Website)**

Vision and Mission (Figure 2: Refer Website)

The Academy operates with a clear vision to be a premier institution in management education, practice, research, and consultancy. The mission is to bridge the persistent gap between academic learning and industry practice by fostering strong professional networks and offering innovative training programs for students and professionals alike.

The Academy's founding principle recognizes that excellence in commerce and management education requires seamless integration of theoretical knowledge with practical industry experience. Over more than half a decade of operation, the Academy has established itself as a trusted institution in Greater Noida, Noida, Delhi, and the broader NCR region.

Services and Programs Offered

1. Commerce Coaching

The Academy provides quality coaching with emphasis on skill building across multiple levels:

- **Secondary and Senior Secondary:** Classes XI and XII with focus on accounting, economics, and business studies fundamentals
- **Undergraduate Programs:** B.Com curriculum including all core finance and commerce subjects
- **Management Programs:** BBA and MBA specialization modules in accounting, finance, strategy, and business law
- **Professional Programs:** Comprehensive preparation for CA (Chartered Accountant), CS (Company Secretary), and CMA (Cost Management Accountant) examinations
- **Pedagogical Approach:** Theory-industry practice blend with focus on real-world applications
- **Delivery Mode:** Both online and offline options to maximize accessibility

- **Track Record:** Consistent student performance with pass rates exceeding 90%
- **Faculty:** Professionally qualified and experienced educators
- **Project Support:** Complete assistance with plagiarism-free projects aligned with academic standards

2. Placement and Training Services

- Extensive database of student alumni network for quality placement and internship opportunities
- Strategic affiliations with reputed firms and industries for placement and internship assistance
- Demonstrated experience managing placement activities for premier business schools and universities
- Specialized training programs for interns and fresh graduates
- Industry connection facilitation and network building

3. Industry Consultancy

The Academy brings practical expertise to organizational challenges:

- Customized training programs for corporate and government organizations
- Exemplary projects include:
    - Cost Strategies and Management training for Ciena India
    - Cost and Accounting Data Management training for exporters and importers
    - Accounting and Finance modules for non-finance personnel at NTPC, Air India, IRCON, and GAIL
    - Tax Planning workshops for HR and Finance professionals at NTPC, Powergrid, and POSOCO
- Expert facilitators drawn from industry with extensive practical experience
- Tailored solutions addressing specific organizational challenges

4. PhD and Research Support

- Full assistance in thesis preparation ensuring quality and plagiarism-free research
- Guidance for publication in prestigious indexed journals (Scopus, SCI, ABDC)
- Industry-focused research design and methodology support
- Mentoring by professionally qualified and experienced researchers
- Journal selection and manuscript preparation support

Key Facilitators and Leadership(Figure 3: Refer Website)

Ms. Sabnam Khan – Founder and Director

Qualifications: MA (Philosophy) - University Rank Holder, MBA in Human Resources

Ms. Khan is the full-time driving force behind S&F Commerce Academy. Her visionary leadership combines academic excellence (first-class MA in Philosophy) with professional business acumen (MBA in HR). She actively manages every operational detail of the Academy while simultaneously running two successful ventures: Shabnam's Delicacies and Shabnam's Collections in Greater Noida.

Dr. Ferojuddin M. A. Khan – Consulting Director

Qualifications: PhD, NET, FCMA (Fellow, Institute of Cost and Management Accountants), LIN CS (Licentiate, Institute of Company Secretaries), MBA, M.Com

Dr. Feroj Khan, affectionately known as "Khan Sir" and celebrated as the "Management Shayar" in the professional community, brings nearly three decades of diverse experience. His expertise spans cost management, finance, and strategic management. He has been instrumental in designing and developing training modules for universities and corporate organizations.

Er. Parwez Zaman – Senior Consultant

Qualifications: B.E. (Mechanical Engineering), MBA (Marketing)

Er. Parwez brings more than 30 years of specialized experience in production, operations management, and energy sector. His tenure at Empee Sugar and Chemicals included roles as Plant In-charge and Head of Operations, with direct involvement in green energy plant setup. Currently connected with BIMTECH and SRM University, he provides training and consultancy to industry professionals and business school students.

Mr. Jaheer Khan – Banking and Finance Consultant

Qualifications: MBA, CAIIB (Certified Associate of Indian Institute of Bankers)

Mr. Jaheer brings 35+ years of banking industry experience, including significant roles at Allahabad Bank (now Indian Bank). His expertise spans core banking operations, branch profitability optimization, NPA management, risk management, asset-liability matching, and agricultural financing. He serves as a valued trainer and consultant for financial institutions and business schools.

Competitive Advantages

The Academy's competitive positioning rests on several distinctive strengths:

1. **Integrated Approach:** Seamless connection between academic curriculum, real-world industry practice, and professional examinations
2. **Experienced Facilitators:** Faculty and consultants drawn from distinguished corporate, banking, and educational backgrounds

3. **Flexible Delivery:** Multiple formats (online/offline) accommodating diverse student needs
4. **Practical Orientation:** All programs emphasize applied learning over pure theory
5. **Network Effects:** Strong relationships with premier institutions and industries amplify placement and research opportunities
6. **Customization:** Programs tailored to organizational and individual needs
7. **Publication Support:** Systematic guidance for scholarly publication in indexed journals

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INTERNSHIP PROFILE

Internship Position: Human Resources Intern

Organization: S&F Commerce Academy, Greater Noida

Duration: Summer internship program

Reporting Authority: Senior HR and Administration Staff

Organization Overview

S&F Commerce Academy functions as a specialized knowledge institution bridging academia and industry. The organization structure spans:

- **Academic Division:** Coaching programs for students at all levels (XI-XII, undergraduate, graduate, professional)
- **HR Division:** Recruitment, staffing, employee management, and policy administration
- **Accounts Division:** Financial management, payroll, compliance, and reporting
- **Consultancy Division:** Industry training and organizational development
- **Research Division:** Thesis support and publication facilitation

Internship Role and Mandate

As an HR Intern, I was positioned at the intersection of human resources, accounts, and taxation functions – a unique vantage point enabling cross-functional learning.

Primary Responsibilities:

1. **Talent Acquisition Support**
    - Job opening postings and announcements
    - Resume screening and candidate shortlisting
    - Interview coordination and scheduling
    - Candidate feedback compilation
2. **HR Documentation and Compliance**
    - Employee data maintenance on HRIS (Human Resources Information Systems)
    - Confidentiality assurance for sensitive personnel documentation
    - Record keeping and documentation archives
    - Compliance with UP Shops and Establishment Act requirements
3. **HR Reporting and Analytics**

- Attendance monitoring and reporting
- Performance tracking and documentation
- HR compliance reporting
- Metrics and dashboards for management review

4. **Placement and Training Coordination**
    - Collaboration with faculty and industry partners
    - Placement activity coordination
    - Training program logistical support
    - Event management and coordination
5. **HR Policy and Process Development**
    - Participation in HR policy documentation
    - Process improvement recommendations
    - Employee engagement activity planning
    - Policy communication and implementation support
6. **Core Project: Salary Tax Planning Analysis**
    - Review of existing employee compensation structures
    - Analysis of income tax implications under Income Tax Act, 1961
    - Identification of opportunities for tax-efficient restructuring
    - Redesign of salary components to minimize tax obligations while maintaining total compensation
    - Documentation of statutory conditions and proof requirements
    - Coordination between HR and Accounts departments for implementation

Strategic Importance of Core Project

While routine HR functions provided broad exposure, the core project on Salary Tax Planning represented the central learning and value-creation opportunity.

Problem Identified:

A critical organizational gap exists: most HR professionals view compensation as entirely within their domain with taxation as the responsibility of Accounts and external tax consultants. In reality, effective tax planning requires close HR-Accounts collaboration. Yet few organizations have formal processes to:

1. Design compensation structures with tax efficiency as an explicit objective
2. Document the statutory basis for tax-exempt allowances

3. Ensure Accounts departments properly classify and report compensation components
4. Communicate tax-planning benefits to employees

Strategic Objective:

The project aimed to develop a replicable model for "Tax-Efficient Compensation Design" that:

- Legally minimizes employee income tax burden
- Ensures compliance with Income Tax Act, 1961
- Specifies documentation requirements for each allowance
- Defines HR and Accounts operational roles
- Can be scaled across employee categories

Learning Outcomes

Knowledge Integration:

This internship transformed classroom learning into applied expertise:

From HR Perspective:

- Recruitment and selection processes
- Employee documentation systems
- Compensation management principles
- Employee relations and engagement
- Compliance with labor laws

From Accounts Perspective:

- Salary computation methodology
- Tax withholding calculations
- Payroll automation
- Documentation for audit trails
- Statutory compliance requirements

From Taxation Perspective:

- Income Tax Act, 1961 provisions relevant to salary income
- Tax-exempt and partly-exempt allowances
- Documentation requirements for allowance claims
- Regime selection (old vs. new regime)
- Statutory deduction mechanisms

Professional Competencies Developed:

1. **Analytical Capability:** Ability to review salary structures critically and quantify tax implications
2. **Cross-Functional Communication:** Effective interface with HR, Accounts, and taxation perspectives
3. **Documentation Skills:** Meticulous record-keeping and evidence compilation for compliance
4. **Research Capability:** Literature review on relevant tax provisions and industry practices
5. **Implementation Planning:** Designing operationally feasible tax-planning mechanisms
6. **Stakeholder Management:** Managing interests of employees, HR, Accounts, and management

Duration and Scope

The internship provided an intensive learning experience combining:

- **Routine HR Functions:** Daily exposure to recruitment, documentation, compliance, and coordination (20% of time)
- **Core Project Development:** Detailed case study research, analysis, and recommendations (80% of time)

This balance ensured both breadth of HR knowledge and depth of specialization in tax-efficient compensation design.

KEY OBSERVATIONS AND ANALYSIS

Foundational Legal Principle

This project is grounded in a landmark Supreme Court decision that affirms the legitimacy of tax planning:

CIT v. Calcutta Discount Co. Ltd. (1973, Supreme Court)

The judgment established the principle that "An assessee can arrange taxable income in such a manner as to minimize the tax burden. Efforts to minimize tax burden through legitimate means are not an offense."

This judgment provides the ethical and legal foundation for the entire project. Tax planning is not tax evasion; it represents the legitimate use of provisions within the tax law to optimize financial outcomes.

The Tax-Planning Gap in Practice

Despite the legal permissibility, organizations consistently fail to implement tax-efficient compensation design due to:

1. **Knowledge Silos:** HR personnel view tax as purely Accounts/Finance responsibility
2. **Documentation Gaps:** Allowances claimed without statutory documentation
3. **Communication Failures:** Employees unaware of tax-planning benefits available
4. **Outdated Structures:** Salary formats unchanged for years despite evolving tax laws
5. **Complexity Avoidance:** Perceived complexity leads to acceptance of default structures
6. **Coordination Failures:** HR and Accounts lack formal mechanisms to collaborate on tax design

Real-World Consequences

Consider two employees with identical total annual compensation of ₹15,00,000:

Employee A (Default Structuring):

- Basic Pay: ₹12,00,000 (fully taxable)
- HRA: ₹3,00,000 (partially taxable)
- Annual Income Tax: ₹66,615

Employee B (Tax-Optimized Structuring):

- Basic Pay: ₹4,80,000 (unchanged)
- Tax-exempt Allowances: ₹10,15,000 (properly documented)

- Rest: Flexible Benefits and Reimbursements
- Annual Income Tax: ₹0

Same total compensation. 100% difference in tax liability.

Employee B retains the full ₹66,615+ in take-home pay that Employee A transfers to the government exchequer.

This represents a significant employer branding and retention advantage: employees with tax-optimized compensation consistently report higher job satisfaction and loyalty.

Literature Review and Pedagogical Gaps

A comprehensive review of standard income tax literature including:

- "Students Guide to Income Tax" (Singhania, 2018)
- "Problems and Solutions in Income Tax" (Meherotra & Goyal, 2017)
- "Income Tax – I" (Kumar & Shreekantha, 2018)

revealed a critical gap: while these texts comprehensively explain *how to compute tax* on a given salary structure, they provide virtually no guidance on *how to design* that structure in tax-efficient ways.

Specific Gaps Identified:

1. No discussion of salary component restructuring methodology
2. No comparison of tax outcomes under alternative structures
3. No analysis of HR's role in collaboration with Accounts on tax planning
4. No documentation practices or statutory proof requirements
5. No operational procedures for defending restructuring during tax scrutiny

This project addresses these gaps through practical case study analysis.

Pedagogical Objectives

This case study is designed to enable students and professionals to:

1. **Understand Tax-Efficient Salary Design**
    - Recognize how salary components intersect with Income Tax law
    - Appreciate the relationship between allowances claimed and statutory tax treatment
    - Evaluate trade-offs between different compensation structures
2. **Apply Multiple Perspectives**
    - Analyze salary through HR lens (compensation competitiveness, employee

satisfaction)
- Analyze salary through Accounts lens (withholding, documentation, reporting)
- Analyze salary through Tax lens (exemptions, deductions, statutory requirements)

3. **Develop Practical Skills**
    - Evaluate existing salary structures and identify optimization opportunities
    - Redesign compensation while respecting organizational constraints
    - Specify documentation requirements for tax claims
    - Develop operational processes for HR-Accounts collaboration
4. **Appreciate Compliance Realities**
    - Recognize legitimate scope of tax planning within legal framework
    - Understand importance of documentation during tax scrutiny
    - Appreciate balance between tax efficiency and administrative simpl

LEARNING AND VALUE ADDITION

Selection and Structuring of Tax-Exempt and Tax-Friendly Allowances

Based on provisions of the Income Tax Act, 1961, various allowances and perquisites can be structured to minimize tax while ensuring full compliance. The following analysis details strategic approaches:

1. Conveyance Allowance (Section 10(14))

Statutory Provision: Exemption up to ₹1,600 per month or ₹19,200 per annum (or actual expenditure, whichever is lower) provided expenditure is incurred for official duties.

Application in Case Study:

Mr. Agrawal, as a senior faculty member, conducts Management Development Programs (MDPs), meets corporate officials for executive training contracts, and participates in industry-academia engagement activities. His actual conveyance expenditure averages ₹10,000 per month.

Tax Treatment:

- Earlier claimed: ₹10,000 per annum (under-utilized)
- Restructured amount: ₹1,20,000 per annum
- **Tax exemption:** Full ₹1,20,000 (actual expenditure documented)

Documentation Required:

- Petrol/fuel bills
- Vehicle maintenance receipts
- Quarterly undertaking certifying expenditure for official duties
- Mileage log (optional but recommended for scrutiny defense)

Role of HR and Accounts:

HR must:

- Inform employee of documentation requirements
- Collect quarterly undertakings
- Maintain file of supporting bills

Accounts must:

- Verify bills before payment
- Record in payroll with clear documentation trail

- Flag for auditor as supporting evidence

Practical Implementation:
To reduce documentation burden, annual undertaking with quarterly summary (rather than monthly receipts) can be implemented without sacrificing audit defensibility.

2. Uniform Allowance (Section 10(14))

Statutory Provision: Exemption for expenditure incurred on uniforms, subject to actual amount spent.

Application:

S&F Commerce Academy follows dress code for faculty. Prof. Agrawal incurs regular expenditure on business formal attire suitable for academics—blazers, formal shirts, and professional wear.

Tax Treatment:

- Earlier claimed: ₹12,000 per annum (minimal coverage)
- Restructured amount: ₹50,000 per annum
- **Tax exemption:** Full ₹50,000 (documented expenditure)

Documentation:

Unlike conveyance allowance, individual receipts for each garment purchase are impractical. Better approach:

- Annual certificate from employee: "I have incurred ₹50,000 on professional uniforms and business formal attire as required for my academic position"
- Maintained file of representative receipts (not every purchase)
- Periodic photo documentation of professional wardrobe

Role of HR and Accounts:

HR communicates uniform allowance benefit and collection protocol.

Accounts accepts annual undertaking as sufficient documentation without requiring itemized bills.

Practical Note:

Many organizations skip this allowance due to documentation perception. However, legitimate claim with annual certification is defensible during scrutiny. Tax authorities recognize academic dress codes and expect professional attire.

3. Telephone and Internet Allowance (Section 10(14))

Statutory Provision: Exemption for actual telephone and internet expenses incurred for official purposes.

Application:

Prof. Agrawal, as active MDP coordinator and student advisor, incurs significant monthly telephone and broadband expenses—calls to corporate clients, internet for project research, WhatsApp with student cohorts, email, and online collaboration tools.

Tax Treatment:

- Earlier claimed: ₹12,000 per annum (outdated)

  Restructured amount: ₹50,000 per annum
- **Tax exemption:** Full ₹50,000 (documented)

Documentation:

Two practical approaches:

Approach 1: Simplified (Recommended)

- Maintain annual undertaking: "Telephone and internet bills totaling ₹50,000 incurred for official duties"
- File one representative monthly bill as evidence
- No need for all 12 monthly bills

Approach 2: Detailed (Higher Audit Defensibility)

- Maintain all monthly telephone/broadband bills
- Mark portions related to office use
- Calculate percentage allocable to official use
- Submit with segregation certificate

Role of HR and Accounts:

HR educates employees on benefit and collection protocol.

Accounts validates expenditure magnitude against employee role and approves reimbursement.

Practical Consideration:

In post-pandemic environment, substantial proportion of faculty telephone/internet is legitimately business-related. ₹50,000 per annum (₹4,167 monthly) is reasonable for senior educator with extensive external engagement.

4. Academic and Research Allowance (Section 10(14))

Statutory Provision: Exemption for expenditure incurred in encouraging academic, research, and professional pursuits.

Application:

Prof. Agrawal is an active researcher and case study author. He:

- Conducts field research and visits to organizations
- Purchases academic publications and journals
- Attends conferences and seminars
- Develops case studies requiring travel
- Upgrades professional skills

Tax Treatment:

- Earlier claimed: ₹60,000 per annum (under-utilized)
- Restructured amount: ₹1,20,000 per annum
- **Tax exemption:** Full ₹1,20,000 (documented)

Documentation:

This is most broadly interpreted allowance, encompassing:

- Conference registration fees and travel
- Books and academic publication subscriptions
- Course fees for professional skill upgrades
- Travel for research and case study development
- Digital academic resources and databases
- Research software and tools

Role of HR and Accounts:

HR positions as professional development investment—reimbursement against actual invoices.

Accounts maintains expense folder with supporting bills and invoices.

Strategic Advantage:

Modern knowledge economy recognizes that professionals must continuously upgrade skills. Academic and Research Allowance provisions align tax policy with continuous learning necessity. Generous claiming (with proper documentation) is both tax-efficient and strategically sound—it signals to employees that professional development is valued.

5. Leave Travel Assistance (Section 10(5D))

Statutory Provision:

- Exemption of ₹1,20,000 for actual travel expenditure incurred to visit any place in India
- Available once in block of two years
- Expenditure must be on travel (air, rail, bus fare) not accommodation

Application:

Prof. Agrawal travels to hometown annually and takes break-cation. He also travels for research activities. Within two-year block cycle, one year's full LTA can be claimed.

Tax Treatment:

- Earlier claimed: ₹50,000 per annum (under-utilized)
- Restructured amount: ₹1,20,000 per annum (in eligible year)
- **Tax exemption:** Full ₹1,20,000 (with travel receipts)

Documentation:

Unlike other allowances, LTA requires hard evidence:

- Airline/railway booking confirmations and ticket receipts
- Bus ticket stubs
- Travel itinerary
- Boarding passes

Strategic Consideration:

Two-year block structure creates planning opportunity:

- Year 1 (eligible year): Claim ₹1,20,000 for actual travel expenditure
- Year 2 (ineligible year): No LTA claim; effectively cover with other allowances or basic salary
- Year 3 (new block): Again eligible for ₹1,20,000

In practice, Prof. Agrawal could plan travel during salary restructuring year to maximize benefit.

Role of HR and Accounts:

HR communicates LTA eligibility and two-year block structure.

Accounts collects travel documentation at year-end and verifies against payment.

6. Helper Allowance (Section 10(14))

Statutory Provision: Exemption for expenditure incurred in engaging helper for performance of official duties (up to amount actually incurred).

Application (Sensitive but Legitimate):

Prof. Agrawal's spouse holds advanced degree but remains homemaker. She actively assists husband's professional work:

- Transcribes audio notes from his lectures and meetings
- Prepares PowerPoint presentations for classes

- Edits case studies and research documents
- Corresponds with students regarding projects
- Organizes classroom events and activities
- Manages professional travel logistics

This constitutes legitimate assistance in performing official duties.

Tax Treatment:

- Earlier claimed: ₹36,000 per annum
- Restructured amount: ₹4,23,000 per annum
- **Tax exemption:** Full ₹4,23,000 (properly documented)

Documentation (Critical):

This is most scrutinized allowance. Defensible implementation requires:

1. **Formal Documentation of Services:**
    - Written agreement describing helper's responsibilities
    - Tasks directly linked to official duties (not household work)
    - Explicit exclusion of personal/domestic services
2. **Financial Documentation:**
    - Separate bank account in helper's name (essential)
    - Monthly transfers to helper account
    - Helper's income tax return showing receipt
    - No commingling with household expenses
3. **Operational Documentation:**
    - Work diary or log of tasks performed
    - Correspondence from helper to employee about work completed
    - Email threads showing professional assistance
    - Performance reviews (optional but strengthens position)

Role of HR and Accounts:

HR obtains written agreement and maintains documentation file.

Accounts verifies:

- Separate bank account exists
- Monthly transfers are consistent
- Helper has filed income tax return showing receipt

- Payment recorded in payroll with document references

Important Caveat:

While legally defensible, this allowance is subject to Income Tax Department scrutiny. Implementation requires meticulous documentation. If helper is spouse specifically, extra care needed to demonstrate legitimate professional services (not spousal support).

Alternative Implementation:

Safer approach: Helper is someone other than immediate family member—perhaps a research assistant or administrative support person formally engaged through service agreement.

7. Mediclaim Reimbursement (Section 17(2))

Statutory Provision: Reimbursement of actual mediclaim or health insurance expenses is exempt from income tax.

Application:

Prof. Agrawal carries health insurance for:

- Self
- Spouse
- Children
- Parents (dependent elderly)

Annual mediclaim claims average ₹30,000 across family members.

Tax Treatment:

- Earlier claimed: ₹7,236 (severely under-utilized)
- Restructured amount: ₹30,000 per annum
- **Tax exemption:** Full ₹30,000 (reimbursed against actual medical bills)

Documentation:

- Medical bills and hospital receipts
- Mediclaim policy documents
- Insurance claim settlement forms
- Reimbursement records

Role of HR and Accounts:

HR communicates mediclaim benefit to all employees.

Accounts obtains medical bills and reimburses against documentation (standard procedure).

Strategic Advantage:

Unlike many allowances, mediclaim reimbursement rarely faces tax scrutiny—amount is proportional to family size and legitimate health needs. No artificial ceiling; actual reasonable amount is accepted.

Comprehensive Restructuring Summary

Through systematic application of tax-exempt and partly-exempt allowances, the following restructuring was achieved:

Component	Earlier Annual Amount (₹)	Restructured Amount (₹)	Change (₹)	Tax Status
Basic Pay	4,80,000	4,80,000	—	Fully Taxable
HRA	2,40,000	1,32,000	(1,08,000)	Partly Exempt
Special Allowance	2,40,000	—	(2,40,000)	Fully Taxable
Medical Allowance	2,40,000	—	(2,40,000)	Replaced
Academic Research	60,000	1,20,000	60,000	Exempt
LTA	60,000	1,20,000	60,000	Exempt
New Heads:				
Telephone Allowance	12,000	50,000	38,000	Exempt
Uniform Allowance	12,000	50,000	38,000	Exempt
Conveyance Allowance	1,20,000	1,20,000	—	Exempt
Helper Allowance	36,000	4,23,000	3,87,000	Exempt
Gift Voucher	—	5,000	5,000	Exempt
Mediclaim	7,236	30,000	22,764	Exempt
TOTAL	**15,00,000**	**15,00,000**	**0**	—

Tax Impact:

- **Earlier Tax Obligation:** ₹66,615

- **Restructured Tax Obligation:** ₹0
- **Tax Saving:** ₹66,615 (100%)

BEST PRACTICES AND BENCHMARK STUDY

Contemporary Regulatory Environment: FY 2025-26

Income Tax Regime Choice

For Assessment Year 2025-26 (Financial Year 2024-25), salaried taxpayers face a critical choice between two regimes:

Table 1: Tax Regime Comparison

Income Slab	Old Regime Rate	New Regime Rate
Up to ₹2.5 Lakh	0%	0% (up to ₹4L)
₹2.5L–₹5L	5%	5% (₹4L–₹8L)
₹5L–₹10L	20%	10% (₹8L–₹12L)
Above ₹10L	30%	15%–20% (₹12L–₹16L+)

Plus: Standard Deduction of ₹75,000 under New Regime

Old Regime Advantages:

- Multiple exemptions and deductions available
- Section 80C: ₹1,50,000 for investments, insurance, loan principal
- Section 80CCD(1B): Additional ₹50,000 for NPS
- Section 80D: Medical insurance premiums
- Section 80E: Education loan interest
- Housing loan interest (Section 24)
- Numerous other section-specific deductions

New Regime Advantages:

- Simplified tax structure with fewer deductions
- Lower rates in higher income brackets
- Minimal documentation burden
- Cleaner compliance

Regime Selection Principle:

For salaried individuals:

- If structuring allowances with good documentation capacity → Old Regime often superior

- If seeking simplicity and minimal compliance → New Regime preferable
- Income level: Below ₹10L, Old Regime usually better; Above ₹12L, New Regime competitive

For Prof. Agrawal's case, Old Regime is superior because:

- Multiple exemptions through allowance restructuring
- Ability to maintain documentation
- Significant deductions under Section 80C/80D available
- Result: Tax reduction from ₹66,615 to ₹0

Best Practices Framework

1. Optimal Salary Structuring Components

Table 2: Recommended Salary Component Mix

Component Type	% of Total	Rationale
Basic Salary	30–40%	Foundation for PF contribution, grade pay
HRA (if rented accommodation)	20–30%	Largest potential exemption
Tax-Exempt Allowances	20–30%	Academic, research, conveyance, etc.
Partly-Exempt Allowances	10–15%	Telephone, uniform, helper
Flexible Benefits	5–10%	Performance pay, bonuses, perquisites
Standard Deduction Cushion	0–5%	Buffer for statutory exceptions

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CHALLENGES AND MITIGATION

While the tax planning framework presented is legally sound and operationally feasible, several challenges merit acknowledgment:

Challenge 1: Accounts Department Resistance

Issue: Many accountants, trained in conservative compliance, may view aggressive allowance claims as risky.

Mitigation:

1. **Education:** Present CIT v. Calcutta Discount Co. Ltd. precedent and modern regulatory guidance
2. **External Validation:** Engage external CA to validate approach
3. **Risk Mitigation:** Implement best-in-class documentation standards
4. **Performance Incentives:** Consider performance bonuses for accounts team upon successful tax filing (if significant refunds received)
5. **Phased Implementation:** Start with conservative allowances (conveyance, academic research) and gradually expand

Challenge 2: Tax Department Scrutiny

Issue: Income Tax Department, during assessment or audit, may disallow claims if documentation perceived as insufficient.

Mitigation:

1. **Documentation Excellence:** Maintain comprehensive proof beyond statutory minimum
    - Quarterly filing rather than annual
    - Video/photo evidence for uniform, helper allowance
    - Detailed task logs for helper services
2. **Professional Support:**
    - Engage CA for complex cases
    - Maintain relationship with tax authority (amicable assessing officer interaction)
    - Professional representation during scrutiny

CONCLUSION

Synthesis of Findings

This comprehensive project on Salary Tax Planning has demonstrated that organizations can legally and ethically minimize employees' income tax burden through strategic salary component restructuring, systematic documentation, and HR-Accounts collaboration.

Key Learnings

1. **Legal Foundation:** The Supreme Court principle in CIT v. Calcutta Discount Co. Ltd. establishes that tax planning within law is legitimate and ethical.

2. **Significant Financial Impact:** Through strategic allowance restructuring while maintaining fixed total compensation, employees can achieve substantial tax savings—in our case study, 100% reduction in tax liability (₹66,615 savings).

3. **Multi-Perspective Approach:** Effective tax planning requires integration of HR, Accounts, and Tax perspectives—a collaboration often lacking in organizations.

4. **Documentation is Defensible:** With proper documentation practices, even generous allowance claims withstand Income Tax Department scrutiny.

5. **Industry Maturity Varies:** Most organizations operate at Level 1-2 maturity; Level 3-4 approaches (strategic, integrated) are reserved for industry leaders.

6. **Best Practices Exist:** Leading organizations successfully implement tax-planning programs while maintaining compliance and employee satisfaction.

Value Creation Mechanisms

For Employees:

- Higher take-home pay (same gross compensation)
- Retention incentive (tax-efficient compensation valued)
- Financial wellness support (investment, insurance planning)
- Legitimacy: all savings through lawful means

For Organizations:

- Competitive talent attraction and retention
- Enhanced employer brand positioning
- Improved employee financial wellness and productivity
- Compliance excellence and audit readiness

For the Profession:

- Raises HR professional competency expectations
- Demonstrates HR's strategic role beyond recruitment
- Contributes to employee financial wellbeing profession-wide

Path Forward

The framework presented—formalized policy, HR education, process standardization, employee engagement, and continuous improvement—provides a replicable template for any organization seeking to implement tax-efficient compensation practices.

The journey from reactive (Level 1) to integrated (Level 4) maturity requires commitment, investment in technology and training, and alignment of HR, Accounts, and management perspectives. However, the returns—in talent attraction, retention, financial efficiency, and competitive positioning—justify the effort.

As tax laws continue to evolve and employee expectations around total rewards sophistication increase, organizations implementing these practices will distinguish themselves as employers of choice.

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APPENDIX A: DETAILED TAX CALCULATION COMPARISON

Comparative Analysis: Before and After Salary Restructuring

Employee: Prof. Rajeev Agrawal (name changed)

Position: Senior Faculty, Business School, Greater Noida

Applicable: Assessment Year 2025-26 (FY 2024-25)

Total Annual Compensation: ₹15,00,000 (Fixed)

Table 1: Income Calculation – Before Restructuring

Particulars	Amount (₹)	Tax Treatment
SALARY COMPONENTS		
Basic Pay @ ₹40,000 P.M.	4,80,000	Fully Taxable
HRA @ ₹20,000 P.M. (50% Basic)	2,40,000	Partly Exempt
Special Allowance @ ₹20,000 P.M.	2,40,000	Fully Taxable
Academic/Research Allowance @ ₹5,000 P.M.	60,000	Exempt
Medical Allowance @ ₹20,000 P.M.	2,40,000	Absorbed in Standard Deduction
LTA @ ₹5,000 P.M.	60,000	Exempt (once in 2 years)
Telephone Allowance @ ₹1,000 P.M.	12,000	Exempt
Uniform Allowance @ ₹1,000 P.M.	12,000	Exempt
Conveyance Allowance @ ₹10,000 P.M.	1,20,000	Exempt
Helper Allowance @ ₹3,000 P.M.	36,000	Exempt
Mediclaim Reimbursement	7,236	Exempt
Total Annual Salary (A)	**15,00,000**	—
Less: Standard Deduction	**(50,000)**	Fixed deduction
Gross Total Salary (B = A - Standard Deduction)	**14,50,000**	—
TAX-EXEMPT ALLOWANCES (Section 10)		

HRA Exemption	—	Least of 3 criteria
- 50% of Salary	2,40,000	
- Actual HRA Received	2,40,000	
- Excess of rent over 10% of salary	1,80,000 - 48,000 = 1,32,000	**Least: ₹1,32,000**
Conveyance Allowance	1,20,000	Documented expenditure
Academic/Research Allowance	60,000	Professional development
LTA	60,000	Travel expenditure (once in 2 years)
Telephone Allowance	12,000	Office expense
Uniform Allowance	12,000	Professional attire
Helper Allowance	36,000	Administrative support
Mediclaim	7,236	Health insurance
Total Exempt Allowances (C)	**5,40,000**	—
Gross Total Income (D = B - C)	**9,10,000**	Taxable Income Base
Deductions (Chapter VI-A)		
Section 80C: Investments & Insurance	1,50,000	PF, Insurance, PPF, ELSS
Section 80D: Mediclaim Premium	7,236	Health Insurance
Total Deductions (E)	**1,57,236**	—
Total Taxable Income (F = D - E)	**7,52,764**	Final Taxable Income
Income Tax Calculation		
Income ₹5,00,000 to ₹7,50,000 @ 20%	1,50,000 × 20% = 30,000	
Income ₹7,50,000 to ₹7,52,764 @ 30%	2,764 × 30% = 829	
Total Income Tax	**30,829**	

Health and Education Cess @ 4%	30,829 × 4% = 1,233	
Surcharge (if applicable)	—	Not applicable
Total Tax + Cess (G)	**32,062**	Rounded
CORRECTED: As per earlier deduction	66,615	Per accounts records

Table 2: Income Calculation – After Restructuring

Particulars	Amount (₹)	Tax Treatment
RESTRUCTURED SALARY COMPONENTS		
Basic Pay @ ₹40,000 P.M. (unchanged)	4,80,000	Fully Taxable
HRA @ ₹11,000 P.M.	1,32,000	Partly Exempt
Academic/Research Allowance @ ₹10,000 P.M.	1,20,000	Exempt
LTA @ ₹10,000 P.M.	1,20,000	Exempt
Telephone Allowance @ ₹4,167 P.M.	50,000	Exempt
Uniform Allowance @ ₹4,167 P.M.	50,000	Exempt
Conveyance Allowance @ ₹10,000 P.M.	1,20,000	Exempt
Helper Allowance @ ₹35,250 P.M.	4,23,000	Exempt
Gift Voucher	5,000	Exempt
Mediclaim Reimbursement	30,000	Exempt
Total Annual Salary (A)	**15,00,000**	—
Less: Standard Deduction	**(50,000)**	Fixed deduction
Gross Total Salary (B = A - Standard Deduction)	**14,50,000**	—
TAX-EXEMPT ALLOWANCES (Section 10)		

HRA Exemption		Least of 3 criteria
- 50% of Salary	2,40,000	
- Actual HRA Received	1,32,000	
- Excess of rent over 10% of salary	1,80,000 - 48,000 = 1,32,000	**Least: ₹1,32,000**
Academic/Research Allowance	1,20,000	Professional development
LTA	1,20,000	Travel expenditure
Telephone Allowance	50,000	Official communication
Uniform Allowance	50,000	Professional attire
Conveyance Allowance	1,20,000	Official travel
Helper Allowance	4,23,000	Administrative support
Gift Voucher	5,000	Annual gift exemption
Mediclaim	30,000	Health insurance
Total Exempt Allowances (C)	**10,15,000**	—
Gross Total Income (D = B - C)	**4,35,000**	Taxable Income Base
Deductions (Chapter VI-A)		
Section 80C: Investments & Insurance	1,50,000	PF, Insurance, PPF, ELSS
Section 80D: Mediclaim Premium	30,000	Health Insurance + Parents
Total Deductions (E)	**1,80,000**	—
Total Taxable Income (F = D - E)	**2,55,000**	Final Taxable Income
Income Tax Calculation		
Income Up to ₹2,55,000	0% (Under Old Regime slab)	No tax up to ₹2.5L

Total Income Tax	**0**	—
Cess @ 4%	0	
Total Tax + Cess (G)	**₹0**	**100% TAX SAVING**

Comparative Summary

Metric	Before Restructuring	After Restructuring	Improvement
Total Compensation	₹15,00,000	₹15,00,000	— (unchanged)
Standard Deduction	₹50,000	₹50,000	—
Tax-Exempt Allowances	₹5,40,000	₹10,15,000	₹4,75,000 (+88%)
Gross Taxable Income	₹9,10,000	₹4,35,000	₹4,75,000 (-52%)
Eligible Deductions	₹1,57,236	₹1,80,000	₹22,764 (+14%)
Final Taxable Income	₹7,52,764	₹2,55,000	₹4,97,764 (-66%)
Income Tax	₹66,615	₹0	₹66,615 (100% saving)
Take-Home Pay	₹14,33,385	₹15,00,000	₹66,615 extra (+4.6%)

Key Insight: Same total compensation, structurally optimized to minimize tax burden by ₹66,615 annually, representing a permanent 4.6% improvement in employee take-home pay.

APPENDIX B: DOCUMENTATION CHECKLIST FOR TAX-EXEMPT ALLOWANCES

Quick Reference Guide for Employees and HR

Conveyance Allowance – Documentation Requirements

Description: Exemption for official travel expenditure (fuel, maintenance)

Maximum Claim: ₹1,600 per month or actual, whichever is lower

Required Documentation:

- Petrol/fuel receipts (quarterly summary acceptable)

- Vehicle maintenance bills
- Quarterly undertaking certifying official expenditure
- Mileage log (optional, but strengthens position)

Submission Timeline: Quarterly (within 15 days of quarter end)

HR Responsibility:

- Collect quarterly undertakings
- Maintain file of supporting receipts
- Flag any gaps to employee
- Provide to Accounts for processing

Accounts Responsibility:

- Verify total against claimed amount
- Verify undertaking is signed by employee
- Cross-check with organizational travel patterns
- Record in payroll with document reference

Risk Assessment: ★★☆☆☆ (Low risk if documented)

Telephone and Internet Allowance – Documentation Requirements

Description: Exemption for official communication expenses

Maximum Claim: Actual amount spent (no statutory limit)

Required Documentation:

- Annual telephone bill (showing office portion)
- Broadband/internet bill (showing office portion)
- Annual certificate from employee stating official expenditure

Submission Timeline: Annual (by March 31 each year)

Simplified Approach:

- Maintain representative monthly bill
- Provide annual undertaking
- No need for all 12 months' bills

HR Responsibility:

- Educate on exemption availability
- Collect annual certificates
- Maintain file of sample bills

Accounts Responsibility:

- Verify amount is reasonable for role
- Verify certificate is signed
- Record reimbursement in payroll

Risk Assessment: ★★☆☆☆ (Low risk if reasonable amount)

Academic and Research Allowance – Documentation Requirements

Description: Exemption for professional and academic development

Maximum Claim: Actual amount spent (no statutory limit)

Required Documentation:

- Conference registration fees and receipts
- Air/rail tickets for conference travel
- Books and academic publications receipts
- Online course and training program invoices
- Professional association membership fees
- Software subscriptions (academic purpose)

Submission Timeline: Annual (by March 31)

HR Responsibility:

- Position as professional development benefit
- Encourage maximum utilization
- Collect invoices/receipts
- Maintain documentation file
- Highlight for performance appraisals (demonstrates commitment to professional growth)

Accounts Responsibility:

- Verify invoices align with academic/research activities
- Record reimbursements systematically

- Maintain audit trail

Risk Assessment: ★☆☆☆☆ (Minimal risk – tax authority recognizes necessity of professional development)

Uniform Allowance – Documentation Requirements

Description: Exemption for professional uniform purchase and maintenance

Maximum Claim: Actual amount spent

Required Documentation:

- Annual certificate: "I have spent ₹X on uniforms/professional attire as required for my position"
- File of representative receipts (not every item, but sample showing variety)
- Photos of professional wardrobe (optional but strengthens position)

Submission Timeline: Annual

Simplified Approach:

- Annual undertaking from employee
- No need for detailed itemization
- Representative bills suffice

HR Responsibility:

- Clarify uniform policy
- Collect annual certificates
- Maintain file of sample receipts
- Provide guidance on professional attire standards

Accounts Responsibility:

- Verify amount is reasonable for position
- Record reimbursement with certificate reference

Risk Assessment: ★★☆☆☆ (Low risk if amount reasonable)

Leave Travel Assistance (LTA) – Documentation Requirements

Description: Exemption for actual travel to any place in India

Maximum Claim: ₹1,20,000 per block of two years

Required Documentation:

- Airline/Railway/Bus booking confirmation
- Ticket receipts (original or digital)
- Boarding passes
- Travel itinerary
- Hotel booking confirmation (if applicable – for proof of travel)

Special Rule: Available once in 2-year block (FY19-20, FY20-21 = one block; FY21-22, FY22-23 = next block)

Submission Timeline: Annual (within 15 days of travel)

Documentation Standard: HIGH – This allowance is frequently scrutinized

HR Responsibility:

- Communicate 2-year block structure
- Collect travel documentation after trip
- Maintain organized file by employee and travel period
- Flag any missing documents to employee

Accounts Responsibility:

- Verify travel was conducted (booking confirmation + boarding pass)
- Verify dates and amounts match
- Record with all documentation attached
- Maintain strict audit trail

Risk Assessment: ★★★★☆ (Moderate-High risk if documentation missing)

Helper Allowance – Documentation Requirements

Description: Exemption for engaging helper to perform official duties

Maximum Claim: Actual amount spent (no statutory limit)

This is the MOST scrutinized allowance – Documentation is CRITICAL

Required Documentation:

- Written agreement with helper detailing duties
- Separate bank account in helper's name

- Monthly bank transfer statements (proof of payment)
- Helper's income tax return showing receipt of income
- Work diary or task log (optional but recommended)
- Correspondence/emails showing helper performing tasks

Documentation Standard: HIGHEST – Multiple layers of proof needed

Key Requirements:

- Agreement must explicitly state official duties (not household work)
- Helper must have filed income tax return showing receipt of this income
- Bank transfer must be from main salary account to helper's separate account
- No commingling with household expenses
- If helper is family member, extra documentation of professional services needed

Submission Timeline: Annual (by March 31)

HR Responsibility:

- Obtain written agreement (template provided)
- Maintain copy of agreement
- Collect annual income tax return of helper showing receipt
- Maintain file of bank statements
- Verify legitimacy of helper arrangement

Accounts Responsibility:

- Verify separate bank account exists in helper's name
- Verify monthly transfers are consistent and reasonable
- Verify helper has filed income tax return showing receipt
- Maintain all documentation for at least 3 years
- Be prepared to provide complete documentation if scrutinized

Special Consideration: If helper is spouse, this arrangement is legally permissible but more closely examined. Requires extensive documentation of professional services rendered.

Risk Assessment: ★★★★★ (Highest risk – requires meticulous documentation)

Mediclaim Reimbursement – Documentation Requirements

Description: Exemption for medical insurance and healthcare expenses

Maximum Claim: Actual amount spent

Required Documentation:

- Mediclaim policy document (showing coverage)
- Medical bills and hospital receipts
- Insurance claim settlement letters/cheques
- Prescription receipts
- Dental/vision care invoices (if covered)

Submission Timeline: Annual (by March 31)

Documentation Standard: MEDIUM – Straightforward but requires proofs

Coverage Scope:

- Self
- Spouse
- Dependent children
- Dependent parents/elderly relatives
- Additional deduction available for parents' health insurance

HR Responsibility:

- Communicate mediclaim benefit and reimbursement process
- Collect medical bills and insurance documentation
- Maintain organized file
- Verify coverage aligns with policy

Accounts Responsibility:

- Verify amount matches insurance documentation
- Record reimbursement
- Maintain documentation for audit trail

Risk Assessment: ★★☆☆☆ (Low risk – straightforward healthcare expense)

Summary Risk Matrix

Allowance	Documentation Complexity	Tax Audit Risk	HR Burden	Recommended Claim Size

Conveyance	Medium	Low	Low	Actual (up to ₹20K/year)
Telephone	Low	Low	Low	Actual (reasonable)
Academic Research	High	Very Low	Medium	Actual (₹1-1.5L/year)
Uniform	Medium	Low	Low	Actual (₹30-50K/year)
LTA	High	Medium	Medium	₹1,20,000 (once in 2 years)
Helper	Very High	High	High	Conservative initially; scale up with documentation
Mediclaim	Medium	Low	Low	Actual (₹20-50K/year)

APPENDIX C: SALARY RESTRUCTURING TEMPLATE FOR DIFFERENT EMPLOYEE CATEGORIES

Template 1: SENIOR FACULTY (Business School/Academic Institution)

Grade: Senior Faculty, Department Head, or Visiting Professor

Total Annual Compensation: ₹15,00,000

Salary Structure Recommended:

Component	Annual Amount (₹)	Monthly (₹)	Rationale
Fixed Taxable			
Basic Pay	4,80,000	40,000	Grade structure anchor
HRA (if rented)	1,32,000	11,000	Partially exempt
Tax-Exempt Allowances			
Academic/Research Allowance	1,20,000	10,000	Professional development core
LTA	1,20,000	10,000	Travel (once in 2 years)
Conveyance Allowance	1,20,000	10,000	MDPs, research travel
Telephone Allowance	50,000	4,167	Communication infrastructure

Uniform Allowance	50,000	4,167	Professional attire
Helper Allowance	4,23,000	35,250	Research/admin support
Mediclaim Reimbursement	30,000	2,500	Health insurance
Gift Voucher	5,000	417	Annual gift exemption
TOTAL	**15,00,000**	**1,25,000**	—

Tax Impact: ₹66,615 → ₹0 (100% saving)

Key Considerations:

- Helper allowance significant (research and admin support critical for faculty)
- Academic allowance reflects continuous professional development expectation
- LTA structured for research travel
- Conveyance for MDP and industry engagement
- Mediclaim for family health coverage

Template 2: ADMINISTRATIVE STAFF (Educational Institution)

Grade: Senior Administrator, HR Manager, Finance Manager, Academic Coordinator

Total Annual Compensation: ₹10,00,000

Salary Structure Recommended:

Component	Annual Amount (₹)	Monthly (₹)	Rationale
Fixed Taxable			
Basic Pay	3,50,000	29,167	Grade structure anchor
HRA (if rented)	1,00,000	8,333	Partially exempt (reduced HRA for staff)
Tax-Exempt Allowances			
Conveyance Allowance	80,000	6,667	Official work travel
Telephone Allowance	30,000	2,500	Office communication
Uniform Allowance	20,000	1,667	Professional attire

Performance Allowance	1,50,000	12,500	Flexible, documented basis
LTA	60,000	5,000	Travel (once in 2 years)
Mediclaim Reimbursement	20,000	1,667	Health insurance
Gift Voucher	5,000	417	Annual gift
TOTAL	**10,00,000**	**83,333**	—

Tax Impact: Estimated ₹20,000 → ₹5,000 (75% saving)

Key Considerations:

- Lower helper allowance (not research-intensive role)
- Performance allowance tied to organizational metrics
- Smaller academic/research component
- Mediclaim lower (typically self only, not family)
- Conveyance for administrative travel

Template 3: TECHNICAL/SUPPORT STAFF

Grade: System Administrator, Coordinator, Executive Assistant, Instructor

Total Annual Compensation: ₹6,00,000

Salary Structure Recommended:

Component	Annual Amount (₹)	Monthly (₹)	Rationale
Fixed Taxable			
Basic Pay	2,40,000	20,000	Grade structure anchor
HRA (if rented)	60,000	5,000	Partially exempt (HRA lower for this grade)
Tax-Exempt Allowances			
Conveyance Allowance	40,000	3,333	Official duties travel
Telephone Allowance	15,000	1,250	Office communication

Performance Incentive	60,000	5,000	Results-based
LTA	40,000	3,333	Travel (once in 2 years)
Mediclaim Reimbursement	12,000	1,000	Health insurance
Gift Voucher	3,000	250	Annual gift
Special Allowance	1,30,000	10,833	Flexible, taxable buffer
TOTAL	**6,00,000**	**50,000**	—

Tax Impact: Estimated ₹8,000 → ₹2,000 (75% saving)

Key Considerations:

- Minimal helper allowance (not applicable)
- Performance incentive tied to quarterly/annual goals
- Lower academic component
- Mediclaim basic coverage
- Special allowance serves as catch-all (flexibility in assignment)

Template 4: SENIOR MANAGEMENT (Director, Principal, Registrar)

Grade: Senior Management

Total Annual Compensation: ₹25,00,000

Salary Structure Recommended:

Component	Annual Amount (₹)	Monthly (₹)	Rationale
Fixed Taxable			
Basic Pay	8,00,000	66,667	Grade structure anchor
HRA (if rented)	2,00,000	16,667	Partially exempt
Tax-Exempt Allowances			
Academic/Strategic Allowance	2,00,000	16,667	Strategic initiatives, research
LTA	2,00,000	16,667	Travel (strategic, once in 2 years)

Conveyance Allowance	1,50,000	12,500	Extensive external engagement
Telephone Allowance	75,000	6,250	Executive communication
Helper Allowance	5,00,000	41,667	Executive assistant equivalent
Mediclaim Reimbursement	50,000	4,167	Family health insurance
Gift Voucher	10,000	833	Annual gift
Professional Development	1,00,000	8,333	Conferences, advanced training
Entertainment/Conveyance	1,15,000	9,583	Organizational representation
TOTAL	**25,00,000**	**2,08,333**	—

Tax Impact: Estimated ₹3,00,000 → ₹75,000 (75% saving)

Key Considerations:

- Substantial helper allowance (executive support)
- Higher LTA and professional development (board representation, industry engagement)
- Entertainment component for stakeholder management
- Mediclaim extended to family
- Strong tax planning justified by compensation level

Implementation Steps for All Templates

Step 1: Assessment

- Determine employee grade/category
- Identify applicable role-specific allowances
- Verify with department head/supervisor role requirements

Step 2: Proposal Development

- Calculate before/after tax impact
- Prepare detailed letter explaining restructuring
- Ensure total compensation unchanged

Step 3: Employee Communication

- Personal meeting with employee
- Explain tax benefits in take-home pay increase
- Clarify documentation requirements
- Address questions and concerns

Step 4: Documentation

- Implement documentation collection system for category
- Train employee on submission protocol
- Coordinate with HR and Accounts

Step 5: Payroll Implementation

- Update payroll system with new component structure
- Ensure salary slip clarity (clearly show exempt vs. taxable)
- Communicate to Accounts for tax withholding adjustment

Step 6: Continuous Monitoring

- Annual review during appraisal
- Adjust if circumstances change (e.g., housing status)
- Update for tax law changes

APPENDIX D: CASE STUDY EXHIBITS AND SUPPORTING ANALYSIS

Exhibit 1: Original Detailed Tax Calculation

Employee: Prof. Rajeev Agrawal

Case Scenario: Business School Faculty Member with family (spouse, children, aging parents)

Current Situation Analysis

Annual Salary Breakdown (Current):

Head	Monthly (₹)	Annual (₹)	Exemption Status
Basic	40,000	4,80,000	Fully Taxable
HRA	20,000	2,40,000	Partly Exempt
Special Allowance	20,000	2,40,000	Fully Taxable
Academic Allowance	5,000	60,000	Exempt
Medical Allowance	20,000	2,40,000	Absorbed in Deduction

LTA	5,000	60,000	Exempt
Conveyance	10,000	1,20,000	Exempt
Telephone	1,000	12,000	Exempt
Uniform	1,000	12,000	Exempt
Helper	3,000	36,000	Exempt
Mediclaim	—	7,236	Exempt
TOTAL	**125,000**	**15,00,000**	—

Problem Analysis

Issue 1: Insufficient Documentation

- Conveyance allowance claimed but no bills submitted
- Academic allowance not linked to actual professional development
- Helper allowance lacks formal agreement and work documentation
- Mediclaim underutilized (only ₹600/month vs. family needs of ₹2,500/month)

Issue 2: Underutilized Allowances

- LTA: Currently ₹60,000 but legitimately could be ₹1,20,000 (once in 2 years)
- Academic/Research: Only ₹60,000 despite faculty actively publishing and conducting research
- Telephone: Industry standard for faculty with external engagement is ₹4,000-5,000/month
- Uniform: Academic dress code costs higher than ₹1,000/month reflected

Issue 3: Inefficient Compensation Structure

- Special Allowance of ₹2,40,000 is fully taxable but not linked to performance or duties
- Could be better allocated to tax-exempt components

Proposed Restructuring Rationale

Principle: Maintain total ₹15,00,000 compensation; reallocate to tax-efficient components

Restructured Components:

1. Maintain Basic Pay (Unchanged: ₹4,80,000)

Rationale: Grade scale anchor; any change creates administrative complexity with HR scale structures

2. Reduce HRA from ₹2,40,000 to ₹1,32,000

Rationale: Calculation of HRA exemption:

- Employee rents accommodation at ₹15,000/month (₹1,80,000/year)
- HRA exemption = Least of:
    - 50% of salary = ₹2,40,000
    - Actual HRA received = ₹2,40,000
    - Excess of rent over 10% of salary = ₹1,80,000 - ₹48,000 = ₹1,32,000
- **Least = ₹1,32,000 exempt**
- Earlier claim of full ₹2,40,000 was improper; correction to ₹1,32,000 is right approach
- Reduction releases ₹1,08,000 for reallocation

3. Eliminate Special Allowance (₹2,40,000 → ₹0)

Rationale: Fully taxable; doesn't link to specific duties; better reallocated to documented exempt allowances

Reallocation of freed ₹3,48,000 (from HRA reduction + elimination of special allowance):

- Academic/Research Allowance: ₹60,000 → ₹1,20,000 (+₹60,000)
- LTA: ₹60,000 → ₹1,20,000 (+₹60,000)
- Telephone Allowance: ₹12,000 → ₹50,000 (+₹38,000)
- Uniform Allowance: ₹12,000 → ₹50,000 (+₹38,000)
- Helper Allowance: ₹36,000 → ₹4,23,000 (+₹3,87,000) [Largest allocation]
- Mediclaim: ₹7,236 → ₹30,000 (+₹22,764)
- New: Gift Voucher → ₹5,000 (+₹5,000)
- **Total reallocation = ₹3,48,000** ✓

Why Each Increase is Justified:

- **Academic/Research (+₹60,000):** Faculty actively publishes, conducts research, visits conferences, and develops case studies—legitimate professional development expenses
- **LTA (+₹60,000):** Available only once in 2-year block, but when available, ₹1,20,000 is reasonable for annual travel to hometown + research trips
- **Telephone (+₹38,000):** Industry coordination and student communications warrant ₹4,000-5,000/month expense
- **Uniform (+₹38,000):** Academic dress code—faculty expected to maintain professional appearance; ₹4,000/month legitimate for quality business formal attire

- **Helper Allowance (+₹3,87,000):** Spouse holds advanced degree, actively assists with:
    - Typing and transcription of lectures and research
    - PowerPoint preparation for classroom content
    - Email correspondence with students on project guidance
    - Case study editing and compilation
    - Event organization on campus
    - Research data compilation
- **This represents meaningful professional support documented through:**
    - Formal Service Agreement specifying duties (must align with official work, not household)
    - Separate bank account in helper's name with monthly transfers
    - Helper's Income Tax Return filing showing receipt of this income
    - Work logs/correspondence evidence (emails showing work performed)
- **Mediclaim (+₹22,764):** Family coverage (self + spouse + children + aging parents) with actual healthcare costs averaging ₹2,500/month

Tax Calculation: Detailed Before and After

BEFORE RESTRUCTURING:

Gross Salary ₹15,00,000
Less: Standard Deduction ₹50,000
Salary after Deduction ₹14,50,000

Less: Exempt Allowances
HRA (as computed: 1,32,000) ₹1,32,000
Conveyance ₹1,20,000
Academic ₹60,000
LTA ₹60,000
Telephone ₹12,000
Uniform ₹12,000
Helper ₹36,000
Mediclaim ₹7,236

Total Exempt ₹5,40,000

Gross Taxable Income ₹9,10,000

Less: Deductions (Chapter VIA)

Section 80C ₹1,50,00

Section 80D ₹7,236

Total Deductions ₹1,57,236

TOTAL TAXABLE INCOME ₹7,52,764

TAX CALCULATION (Old Regime, AY 2025-26):
Income ₹5,00,000-₹10,00,000 @ 20% ₹2,50,000 × 20% = ₹50,000
Income ₹7,50,000-₹7,52,764 @ 30% ₹2,764 × 30% = ₹829

Income Tax ₹50,829
Health & Education Cess @ 4% ₹2,033

TOTAL TAX LIABILITY ₹52,862

[Note: Per accounts record, calculated as ₹66,615;
likely including additional surcharge or different
slab calculation; using accounts figure for comparison]

TAX LIABILITY (per accounts) ₹66,615

AFTER RESTRUCTURING:

Gross Salary ₹15,00,000
Less: Standard Deduction ₹50,000
Salary after Deduction ₹14,50,000

Less: Exempt Allowances
HRA (as computed: 1,32,000) ₹1,32,000
Academic/Research ₹1,20,000
LTA ₹1,20,000
Telephone ₹50,000
Uniform ₹50,000
Conveyance ₹1,20,000
Helper ₹4,23,000
Gift Voucher ₹5,000
Mediclaim ₹30,000

Total Exempt ₹10,15,000

Gross Taxable Income ₹4,35,000

Less: Deductions (Chapter VIA)
Section 80C ₹1,50,000
Section 80D ₹30,000

Total Deductions ₹1,80,000

TOTAL TAXABLE INCOME ₹2,55,000

TAX CALCULATION (Old Regime, AY 2025-26):
Income up to ₹2,55,000 @ 0% ₹2,55,000 × 0% = ₹0

Income Tax ₹0
Health & Education Cess @ 4% ₹0

TOTAL TAX LIABILITY ₹0

TAX SAVING ₹66,615 (100%)

Implementation Checklist for Prof. Agrawal Case

Pre-Implementation (Month 1):

- Obtain written approval from Management/Board
- Prepare detailed letter to employee explaining restructuring and tax benefits
- Schedule meeting with Prof. Agrawal to explain changes
- Address any questions or concerns regarding documentation requirements
- Obtain employee signature on acceptance

Documentation Preparation (Month 2):

- **Helper Allowance:**
    - Draft Service Agreement specifying duties (research support, administrative assistance, correspondence management)
    - Obtain signatures from Prof. Agrawal and spouse (helper)
    - File copy with HR
    - Ensure spouse opens separate bank account (if not existing)
    - Communicate requirement: spouse must file Income Tax Return showing receipt of this income
- **Conveyance Allowance:**
    - Collect all petrol/fuel bills from past year
    - Compile quarterly summary
    - Prepare undertaking: "I certify that conveyance expenses totaling ₹X were incurred for official duties"
    - Submit to Accounts with supporting bills
- **Academic/Research Allowance:**
    - Collect conference registration receipts, travel bills
    - Compile list of books/publications purchased

- List online courses completed
- Prepare annual summary for previous year
- Submit to Accounts with supporting documentation

- [ ] **Telephone Allowance:**
  - [ ] Collect monthly telephone and broadband bills
  - [ ] Prepare undertaking: "Telephone and internet expenses totaling ₹X incurred for official communication"
  - [ ] Highlight official use portion
  - [ ] Submit one representative bill as evidence
- [ ] **Uniform Allowance:**
  - [ ] Prepare certificate: "Professional attire expenditures of ₹X incurred for academic dress code compliance"
  - [ ] File receipts from purchases (shopping bills, tailoring receipts)
  - [ ] Optional: Photo documentation of professional wardrobe
- [ ] **Mediclaim:**
  - [ ] Collect all medical bills for family members
  - [ ] Gather mediclaim policy details
  - Compile insurance claim settlements
  - Submit with documentation
- **LTA:**
  - [ ] Plan annual travel (if taking in FY25)
  - [ ] Keep all booking confirmations and tickets
  - [ ] Prepare travel itinerary

Payroll Implementation (Month 3):

- [ ] Update payroll system with new salary structure
- [ ] Generate new Salary Slip showing:
  - Taxable components clearly marked
  - Tax-exempt allowances clearly marked
  - Gross vs. net calculations
- [ ] Update tax withholding calculations
- [ ] Coordinate with Accounts on documentation receipt and filing
- [ ] Provide Prof. Agrawal with updated salary slip showing tax impact

Ongoing (Monthly):

- [ ] Process monthly salary with new structure
- [ ] Collect quarterly allowance documentation
- [ ] Maintain organized filing system
- [ ] Communicate with employee on any issues

Annual (March/April):

- [ ] Compile annual summary of all claims
- [ ] Provide to tax consultant/CA for review before ITR filing
- [ ] Ensure all supporting documentation available for audit trail
- [ ] Prepare for potential Income Tax scrutiny

Multi-Year (Annual Review):

- [ ] Review allowance structure during appraisal
- [ ] Adjust if circumstances change (e.g., housing status, family situation)
- [ ] Update for new tax law provisions
- [ ] Continue education on tax planning benefits

APPENDIX D: DAILY LOG

Daily Log

The following is the comprehensive weekly internship report documenting the work from 14th August to 13th October 2025 on the study of compensation package examination for reducing income tax obligations. The report is organized into 8 weeks with detailed coverage of:

Week-by-Week Breakdown:

- **Week 1:** Onboarding and orientation at S&F Commerce Academy with HR operations exposure
- **Week 2:** Deep dive into Income Tax Act provisions, literature review identifying textbook gaps, and case study identification
- **Week 3:** Detailed salary restructuring design achieving ₹66,615 annual tax savings, allowance documentation requirements, and checklist creation
- **Week 4:** Regulatory environment analysis for FY 2025-26, industry salary benchmarks, and maturity level framework
- **Week 5:** Salary Tax Planning Policy development, employee communication strategy, and HR operational procedures
- **Week 6:** Employee category salary templates, challenge analysis and mitigation, case study finalization
- **Week 7:** Best practices documentation, expanded documentation checklists, and tax clinic design
- **Week 8:** Report integration, final compilation, presentation preparation, and project closure

Key Outputs Documented:

- Case study showing ₹66,615 (100%) tax saving through salary restructuring

- Salary templates for 4 employee categories with different compensation levels
- Documentation checklists with risk assessment for 7 allowance types
- Implementation roadmap moving from reactive to strategic tax planning
- Best practices framework derived from leading organizations
- Challenge analysis with mitigation strategies for 6 major implementation risks

The report when combined with appendices and demonstrates progression from knowledge building (22% of effort) to implementation planning (28% of effort), with significant emphasis on analysis/modeling (27%) and process development (23%).

Expected Value: Framework applicable to any organization, potential consultancy offering for S&F Academy, ₹30,000-75,000+ annual tax savings per employee across workforce.

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ABBREVIATIONS AND ACRONYMS

Abbreviation	Full Form
A.Y.	Assessment Year
ABDC	Australian Business Deans Council
BIMTECH	Bharati Institute of Management and Technology
B.Com	Bachelor of Commerce
BBA	Bachelor of Business Administration
CA	Chartered Accountant
CAIIB	Certified Associate of Indian Institute of Bankers
CIT	Commissioner of Income Tax
CS	Company Secretary
CMA	Cost Management Accountant
CWT	Certificate of Withholding Tax
DA	Dearness Allowance
ELSS	Equity Linked Savings Scheme
EDP	Electronic Data Processing
F.Y.	Financial Year
FMCG	Fast Moving Consumer Goods
HR	Human Resources
HRA	House Rent Allowance
IND AS	Indian Accounting Standards
IRCON	Indian Railway Construction Company
IT	Information Technology
LTA	Leave Travel Assistance
M.Com	Master of Commerce
MBA	Master of Business Administration
MDP	Management Development Programme
NPA	Non-Performing Assets
NPS	National Pension System

NSC	National Savings Certificate
NTPC	National Thermal Power Corporation
PA	Per Annum
PF	Provident Fund
PM	Per Month
PPF	Public Provident Fund
Scopus	Abstract and Citation Database
SCI	Science Citation Index
UP	Uttar Pradesh
UP Shops & Establishment Act	Uttar Pradesh Shops and Establishment Act, 1969

Industry Mentor Feedback

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F-9: Industry Internship Supervisor Feedback

Industry Supervisor's/ Mentor's feedback of the student

Student Name: Deepika Kumari	Enrolment No: 23GSOB 1010056
SIP Title: A study on Examination of Compensation Package for minimizing income Tax obligation	
Industry Supervisor Name: Dr. FMA Khan	Organization Name: S&F Commerce Academy
Internship From (Start Date) 14/8/25 - 13/10/25	Internship From (End Date) 13/10/2025

Behavioural Parameters	Performance				
	Poor	Below Average	Good	Very Good	Excellent
Performs in a dependable manner					✓
Cooperates with co-workers and supervisors					✓
Shows interest in work					✓
Learns quickly					✓
Shows initiative					✓
Produces high quality work					✓
Accepts responsibility					✓
Accepts criticism					✓
Demonstrates organizational skills					✓
Uses technical knowledge and expertise				✓	
Shows good judgment					✓
Demonstrates creativity originality				✓	
Analyze problems effectively					✓
Is self-reliant					✓
Communicates well				✓	
Writes effectively					✓
Has a professional attitude					✓
Gives a professional appearance					✓
Is punctual					✓
Uses time effectively					✓

Industry Supervisor Name: Dr. FMA Khan

Signature of Industry mentor:

S&F COMMERCE ACADEMY
Jagat Plaza, Jagat Farm, Gr. Noida
Mob-8285771321,7503699737

Authorised Signatory